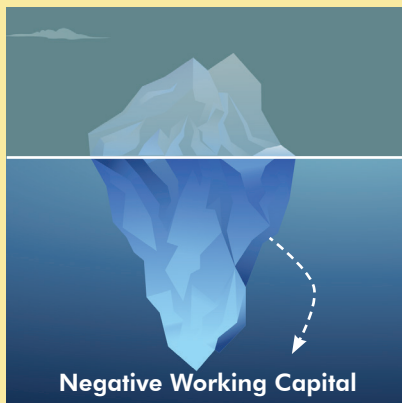


When you are analyzing companies, you have to focus on all the companies that have float. These companies generate a very high return on capital.

▶ *Accrued Expenses that the company gets a credit on.*

▶ *Other float-like current liabilities*

You can consider these items as float-like and must know how to identify them. Coming back to the summary, the identification process is pretty simple.



The company does not pay any interest, does not own the capital, and does not need to pay it back (it can be paid back in the form of service that the company is offering).



So here we conclude the unit.

In the next unit, we will discuss a new concept, 'Reverse float.'